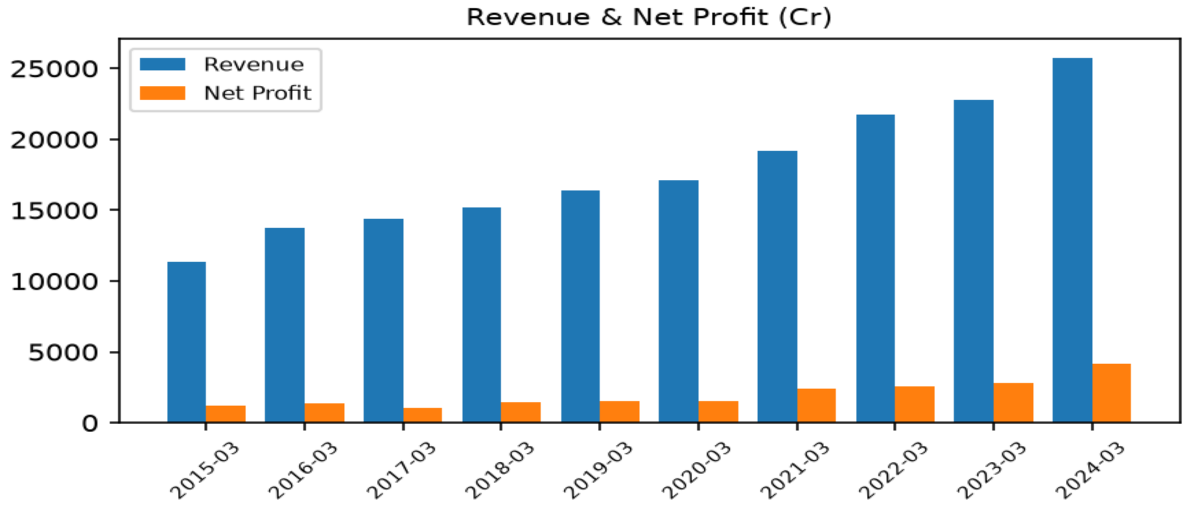
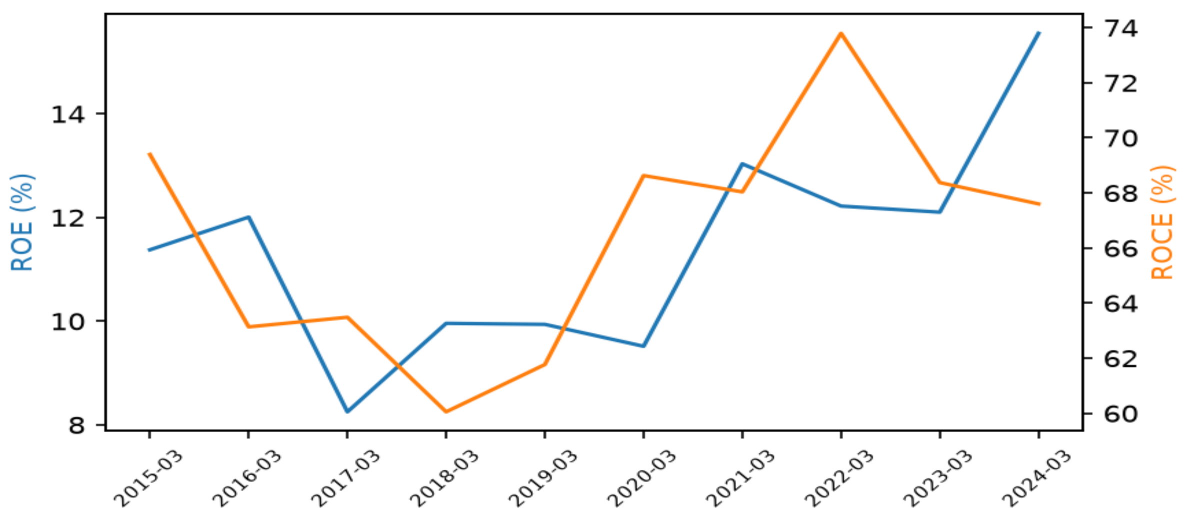
Cipla Ltd (CIPLA)

ROE 15.6%	**ROCE** 67.6%	**Net Profit Margin** 16.1%
D/E 0.0	**Revenue CAGR 5yr** 9.5%	**Free Cash Flow (Cr)** 1152.0

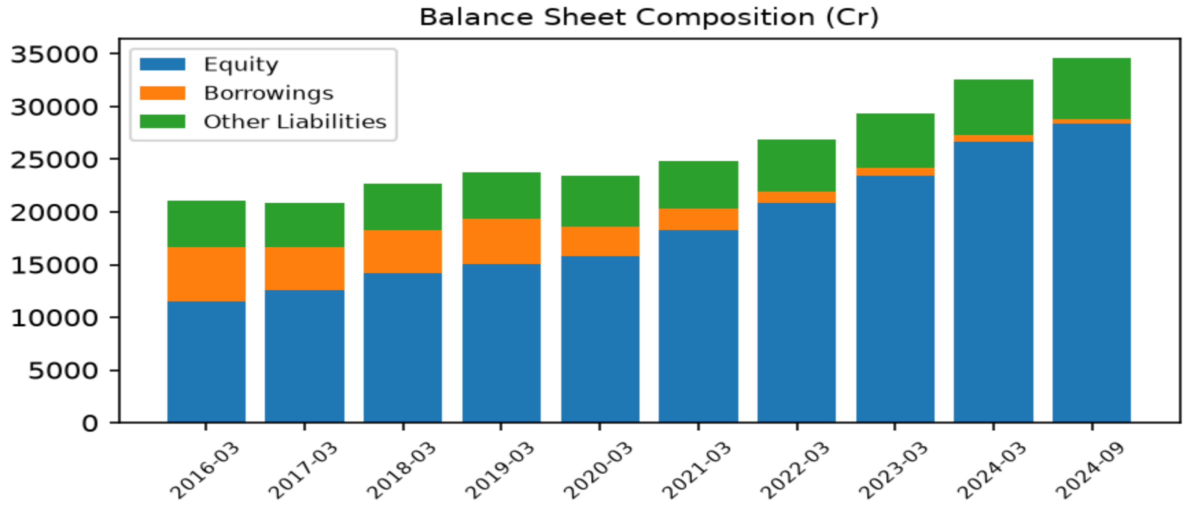
Revenue & Net Profit (10yr)



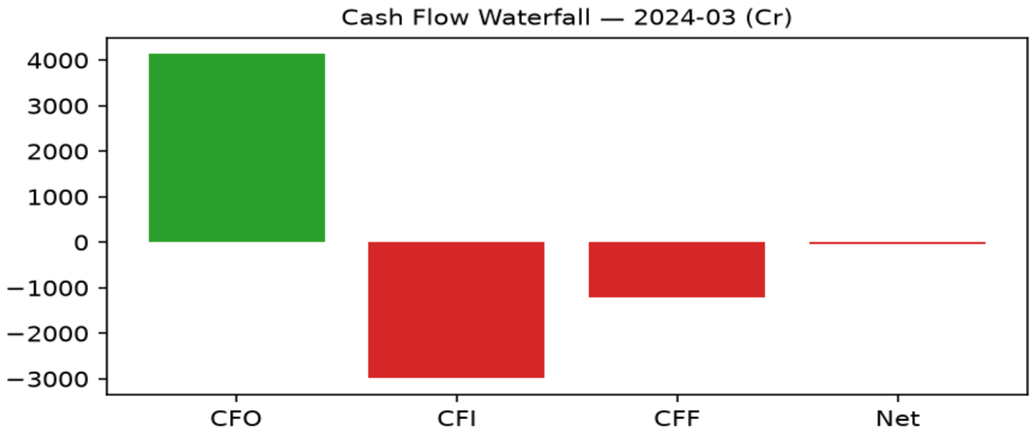
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
✓ Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation: Reinvestor